



Permanent Container Labels Pilot

Product Design & Research
Product Management

We will empower associates to
provide exceptional
experiences for our customers
through our taste
strategy.

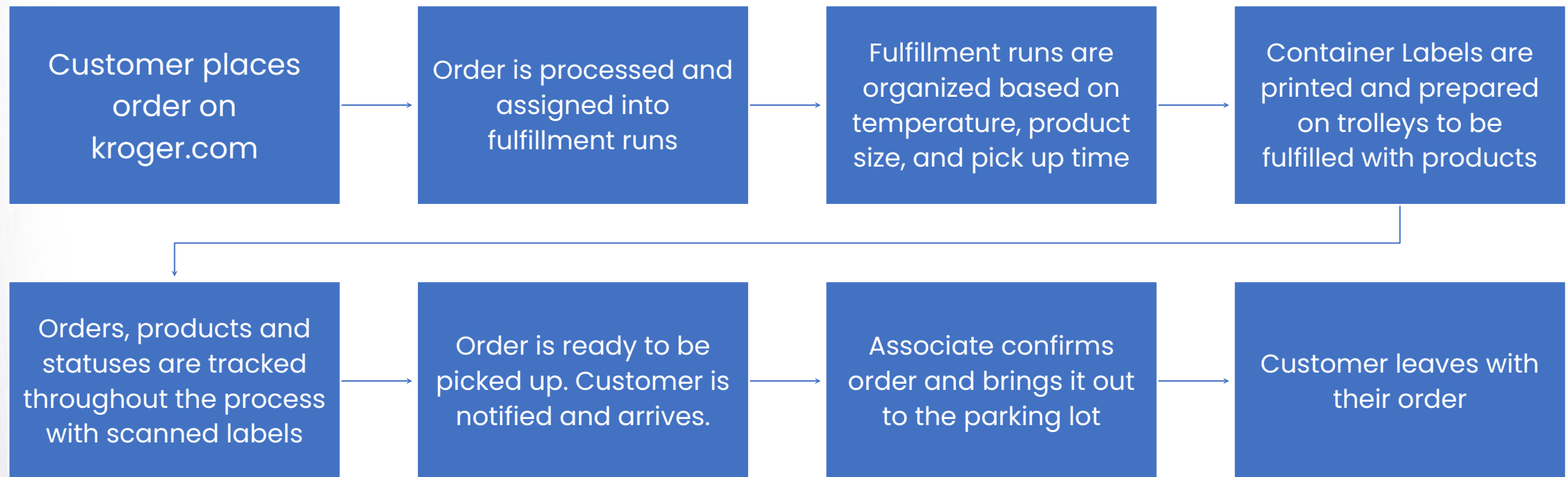


OUR TEAM'S MISSION

For our **e-commerce fulfillment**, we aim to reduce single-use label waste while improving associate efficiency and experience by removing hardware and its associated maintenance through a lower-cost **permanent label solution**.



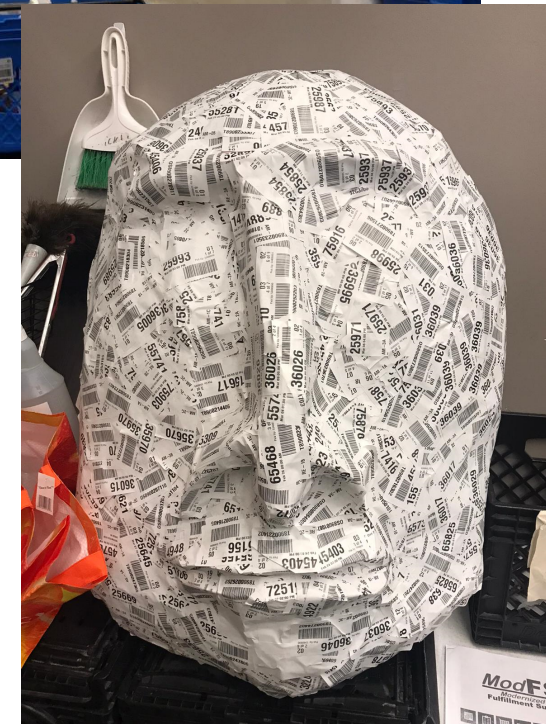
E-commerce Pickup Fulfillment Overview



Single-Use Labels Costs

\$2.7 million
per year

Not included in this are the additional costs of labor, printers, ink, and associated maintenance



The current process depends on the printed labels.

- Printed labels contain **unique order information** from the containers, frozen bags, and oversized products
 - Order ID
 - Pick Up Time
 - Temperature
 - Container Position
- Printed labels are flexible and mobile allowing for simple
 - Container consolidation



Introducing Permanent Labels





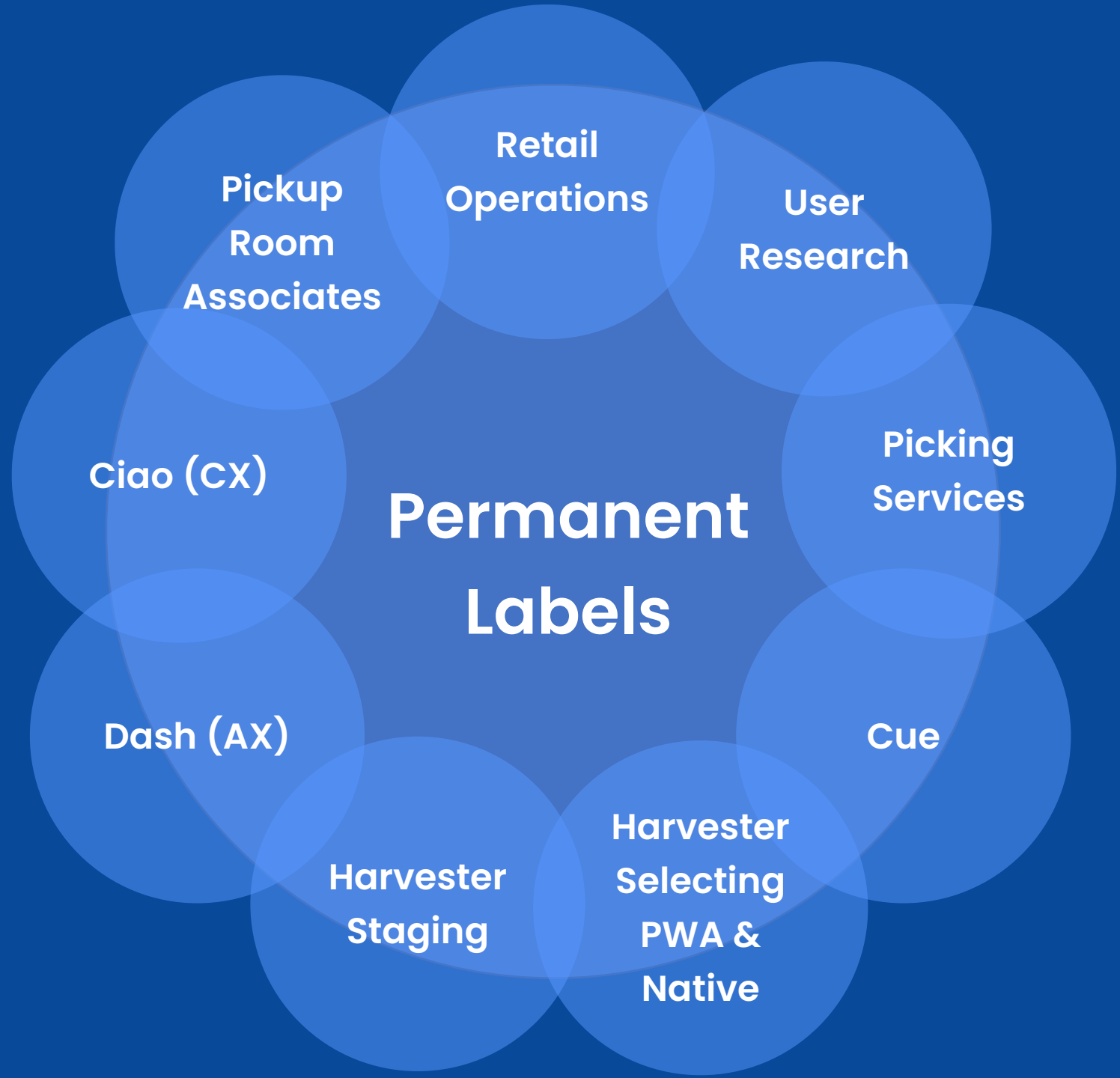
Learn to Adapt

Transitioning to permanent labels as quickly as possible will save the business millions, meaning, a full-service solution is needed as quickly as possible.

Our test environment is our associates' livelihoods, and we need to be mindful of their time and our impact to their work. In order to be successful, we:

- Gained understanding of current physical and digital systems through several store tours, work-alongs, and subject matter expert interviews.
- Conceptualized physical and digital interventions with the impacted and partners
- Break up study by process stages
- Imagined and planned for what might go wrong in testing
- Rapidly tested and iterated

When an **entire process changes**, success necessitates **frequent and effective communication and collaboration** with **those impacted.**



Digital System Needs

Order information must be readily available in all stages of the fulfillment process to minimize error and maximize efficiency.

- Provide all current information on printed label and customer information digitally
 - Introduce the addition of all order containers, container statuses, locations, and contents
- Support **trolley set up** with container association for ambient and frozen runs
- Support easy systematic **container identification**
- Consider oversized items and workflows
- Accurate batching and cubing becomes more



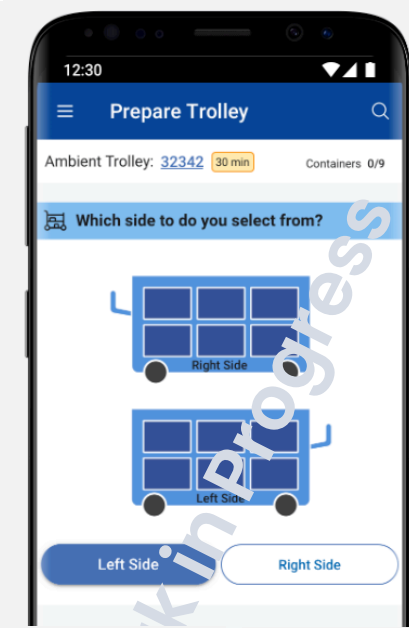
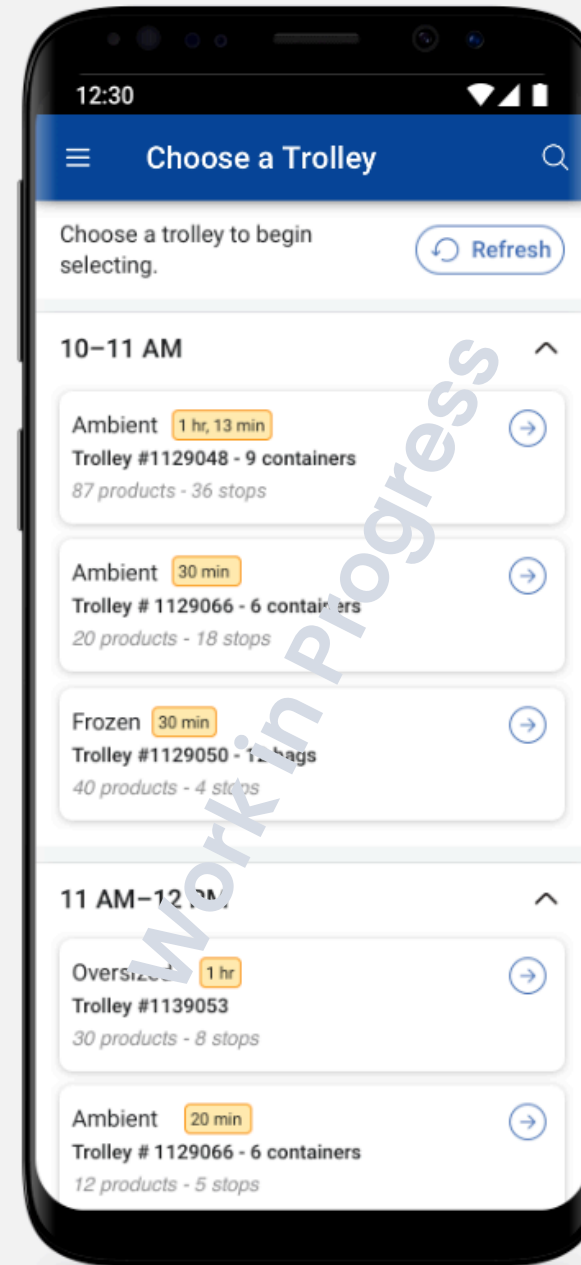
STAGE: ASSOCIATE TROLLEY PREPARATION

1. View Available Runs

- Associate feedback overwhelmingly positive.
- Selectors appreciated seeing estimated time of run and number of stops
- Mild concern of selectors picking out of order and affecting the order flow

2. Choose Selection Side (Ambient)

- Associates found this straightforward and helpful for the orientation and assignment of containers.
- Some stores and people pick on either the left or right depending on training or dominant hand.



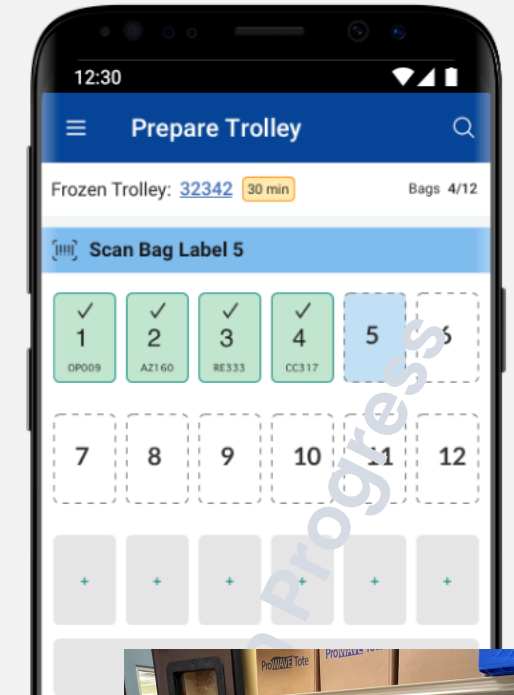
3. Container Scan

- Automatic prompt to scan next container in line.
- Process was accepted as easy and straightforward.
- Feedback from pilot is that having order IDs visible could help in the picking process at this stage.

Ambient & Refrigerated



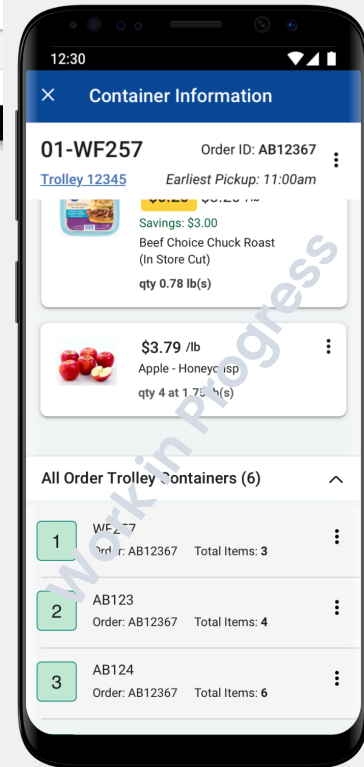
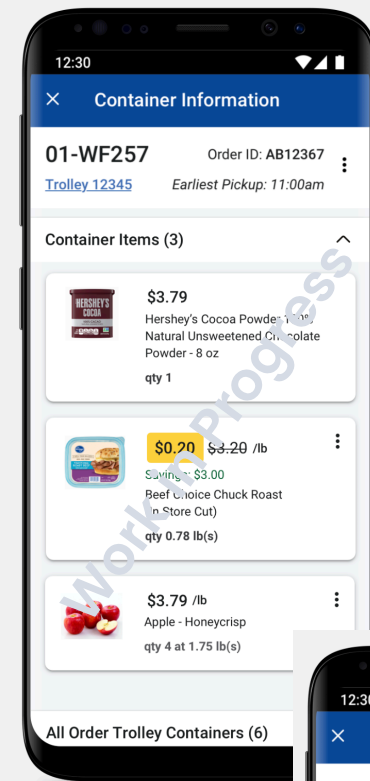
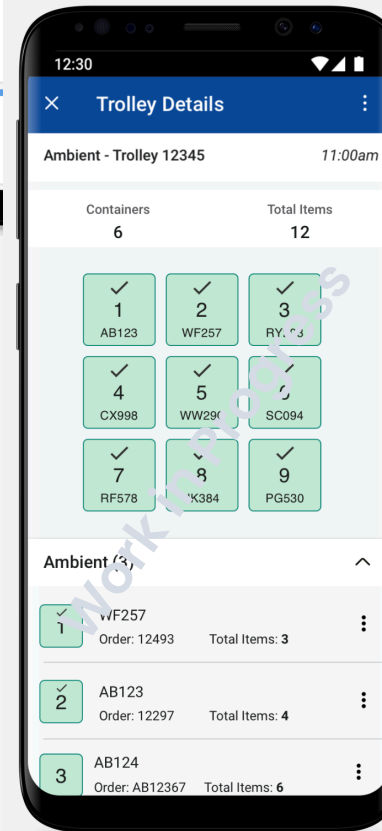
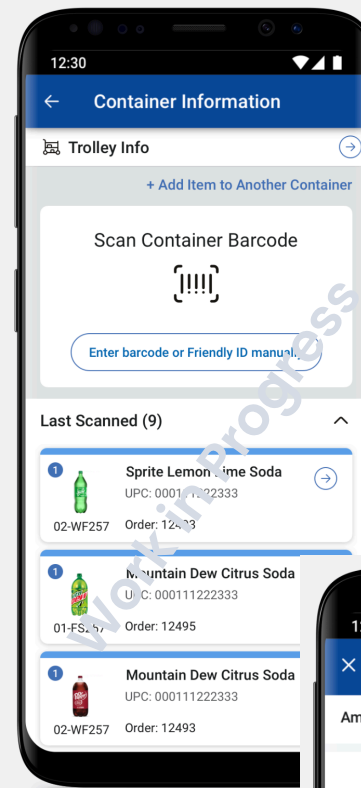
Frozen



Updates Overview: Item Selection

Harvester PWA, Harvester Native, and
Demeter/Flex* to support the following:

- Allowing for container information to be available through a scan outside the picking flow
- Display trolley information and order IDs for containers
- Display item information and trolley location for the last 3 to 5 items scanned
- Allow for adding an item to another container on the trolley
- Allow for adding an item to a new container not on trolley
- Allow for merging two containers of the same order



Pilot Retrospective

What went well?

- Process was well received by associates.
- Clips for frozen worked better than expected.
- Palley de-staging was well received by associates.
- Preparing test orders and modifying labels
- Base workflow design worked!

What didn't go well?

- Using clips for oversized.
- Testing on a day when FC delivery was down.
- Compressed timeframe lead to limited research and discovery preparation

Surprises

- Associates preferred the frozen badges to printed labels.
- Saw an increase in frozen run selection speed by setting up trolley before run.



Projected Cost Savings:

\$7.1 million per year

Label supplies savings

- Business Case to capital: \$1 million per year
- Current label expense: **\$2.7 million per year (based on usage)**
 - Not included at present are the cost of printers, ink, and associated maintenance

Labor savings

- **Business case & expected labor savings: \$4.4 million per year**
 - Trolley setup
 - Tote breakdown (removing labels and throwing away)
 - Frozen pick-run
 - Potential for future savings (need additional labor studies)
 - Oversize pick-run
 - Potential for future savings (need additional labor studies)
 - Palley scan during checkout
 - Reduce wait time for delivery of Fulfillment Center (FC) orders



Next Steps

Collaboration

- All ModFS product teams – capacity planning
- Continued collaboration with the rollout team
- Collaborate with training to write accurate SOPs and training procedures

Research & Discovery

- Follow up Usability Studies
- Additional labor studies to evaluate frozen and oversize cost savings
- Detailed usability studies and iterations in collaboration with ModFS product teams
- Additional discoveries for Flex and Demeter
- Additional Oversize item discoveries
- ScandIt research and pilot

Development

- Implementation across all 5 products

Thank you!

If you have any questions or
follow ups, get in touch!

Product Design & Research
Product Management
Engineering Leadership

